

FINO Established 2006

With four million customers, Rs 80 crore worth of transactions every month and 17,000 locations served, FINO converts the unbanked poor into proud possessors of biometric smart cards

MONEY VENDOR MACHINES

Few bankers would readily give up their comfortable jobs to start a company that would provide financial services to the unbanked poor. But Manish Khera, CEO of Financial Information Network and Operations (FINO), is not your archetypal banker. It's for this reason that in 2005 when ICICI Bank wanted to transform their alternative channels group, which was looking at delivery models for their bottom-of-the-pyramid customers, into a stand-

alone company, it vested the responsibility with Khera. An engineer by design and banker by choice, Khera recalls the early days when various models and technologies were being tested within ICICI Bank, "While figuring out how to offer banking services to the poor, we came across the Banking Regulation Act 1954, which allows banking only through licenced branches and ATMs. It was during this period that we

realised that the market was huge as was the problem of financial inclusion." To develop solutions for the un-banked population, FINO took equity partnerships from other financial institutions and banks such as Union Bank, Corporation Bank, Intel Capital, Indian Bank, LIC and ICICI Bank.

In a country where 400 million people don't have bank accounts, FINO is clearly in a sweet spot. To make it easy for the rural and urban poor to operate accounts, FINO offers biometric smart cards, which have embedded details of the customer and status of transactions. FINO has also appointed several agents who go around with mobile point-of-sales machines, similar to credit card swiping machines, collecting deposits and disbursing cash. FINO is playing a crucial role in opening bank accounts to

effect the payments under the National Rural Employment Guarantee Act, so that delivery improves and there is little pilferage. The company is present in 11 districts of Andhra Pradesh and is carrying out pilots in other states too.

90 per cent
of micro-credit
in India is being
disbursed
through the
self-help group
and bank
linkage model.

For all the talk of opportunity at the bottom of the pyramid, the going has not been easy for FINO. For opening each account, the company gets paid Rs 10 and 2 per cent of the value of transactions. The challenge that FINO faces is financial viability. Given the intricacies of catering to this market, the company has to be funded till customers migrate from vanilla savings to other financial products like loans, insurance and remittances. It usually takes three years for consumers to migrate from one segment to the other. That's why Khera says the business model will continue to remain uncertain till either the Government or the banking industry invest in this market.

by Mallini Bhupta



Manish Khera 38, CEO

"It's time for different stakeholders in the industry to come together and do what it takes to bring as many people into the banking system."